

So years ago, the Wave Principle answered concerns about the economy by saying, "Not yet," allowing us to prosper from the very start of the expansion. This approach is in direct contrast to those of the two main groups: the perennial doomsayers, who have for decades predicted another depression "just around the corner," and the far larger contingent of perennial optimists, who have neither the means nor desire to identify the signs of impending trouble.

As the above quotation indicates, the signal for the Grand Supercycle downturn will be given when the stock market begins falling in earnest. Then you will know that a new label will be added to our front page forecast: DEPRESSION BEGINNING.

Why *must* a depression occur? The answer is as simple as it is important: No Supercycle degree decline in stock prices on record has failed to produce a depression. The 1840s and 1850s during Supercycle wave (II) saw a depression. The 1930s during Supercycle wave (IV) saw a depression. Even under the mildest possible scenario, the next decline will be at least of Supercycle degree. Therefore, it must produce not simply a recession, but a depression. As for *why* economic contractions follow bear markets, see Chapter 12. Before discussing the coming depression itself, let's examine the buildup of events and forces, and then the current conditions, that support the conclusion that a major economic contraction is imminent.

ANALYSIS OF THE TOPPING PROCESS

At Grand Supercycle degree, the late 1960s and late 1980s/early 1990s are a great double top (see Chapter 3) in the fortunes of the United States. At Cycle degree, the second of those is itself a double top, with 1987-1990 marking the first peak in investments and the economy and 1995(6) due to mark the second. Throughout this time, indications of a long term trend change have been accumulating.

The Subtle Influence of the Larger Bear Market Since 1966

Inflation-adjusted stock prices, and therefore the fortunes of the nation, registered their all-time peaks in February 1966. Numerous social mood indicators, such as crime and divorce rates, began to worsen at that time. The ongoing multi-decade bear market has exerted a subtle influence over the economic statistics as well. As an example, Figure 13-1 shows the average age of industrial buildings. During the last Supercycle bear market, which produced the Great Depression, people utilized older and older buildings because